Business

NMDPRA Approves $1.13/Mscf As Interim Gas Transportation Tariff For NGIC

The tariff is expected to enhance the economic viability of Nigeria's gas pipeline systems while allowing flexibility in payment currency to prevent currency mismatches in operators' debt and cost portfolios.

By Channels Television

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The Nigerian Midstream and Downstream Petroleum Regulatory Authority (NMDPRA) has approved an interim transportation tariff of $1.13 per Mscf for the NNPC Gas Infrastructure Company Limited (NGIC).

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The tariff is expected to take effect from July 1 to December 31, 2025, covering all six gas transportation networks

nationwide.

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A statement issued by the Authority on Monday explained that the tariff will enhance the economic viability of Nigeria's gas pipeline systems, while allowing flexibility in payment currency to prevent currency mismatches in operators' debt and cost portfolios.

According to the NMDPRA, the interim transportation tariff, effective from July 1 to December 31, 2025, will serve as a transition period.

During this period, the Authority is expected to conduct and conclude stakeholders' consultations to formally adopt the applicable gas transportation tariff methodologies.

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The Authority stated that the interim tariff was determined in compliance with sections 122 & 123 of the Petroleum Industry Act (PIA) 2021, and the Natural Gas Pipeline Tariff Regulations 2023.

The single tariff rate is charged to a class of tariff, regardless of the distance at which natural gas is

transported on the pipeline, the distance-based tariff, or the zonal tariff.

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The NMDPRA further explained that the interim tariff was determined based on the postage stamp methodology, which ensures a uniform tariff rate across all users irrespective of distance or location.

It emphasised that the approval followed through a rigorous review process, analysis of market conditions, the need to ensure affordability and fair return on investment, as well as other relevant factors in line with provisions of the PIA 2021.

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The approved tariff applies to all six gas transportation networks nationwide, namely the Escravos–Lagos Pipeline System (ELPS I & II), Oben–Ajaokuta, Oben–Geregu, Obiafu–Obrikum–Oben (OB3), the Eastern Network, and the Ajaokuta–Kaduna–Kano (AKK) Pipeline System.

The Authority urged all licensees and relevant stakeholders to implement the interim tariff in all transactions based on the provisions of the PIA 2021 and the Natural Gas Pipeline Tariff Regulations 2023.

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